

and wellness destinations, the state's strategic assets—its 1054 km coastline, sacred temple towns, rich Buddhist heritage, rivers, forests, and vibrant culture—provide unmatched potential. Strong sectoral strengths include robust domestic footfalls, improving air-road-rail connectivity, proactive governance, and a growing skilled workforce. To translate this potential into measurable outcomes, the Government of Andhra Pradesh has adopted a structured, investment-led execution model. This includes proactive project identification across anchor hubs and thematic circuits, investor-ready land parcels, single-window clearances, and continuous engagement with domestic and global investors. Focused efforts on PPP-led development, anchor hospitality brands, and large-format destination projects have ensured that policy intent is backed by on-ground action. This approach has enabled Andhra Pradesh to move rapidly from vision to execution, creating a visible pipeline of projects across the tourism value chain.

The impact is already visible. The tourism sector attracted over ₹25,000 Cr (USD 2.78 billion) of investment over the last year. The state has sanctioned over 4,597 room keys, which is nearly one-third of India's total classified rooms sanctioned in the past year. Of the 27 projects sanctioned, 3 projects have been inaugurated, 12 projects are under development and 10 projects

are ready for foundation in January 2026. Further, the Department of Tourism has received DPRs for ₹4,850 Cr (USD 538 million) with 4,088 room keys. The state is on track to achieve its mission of attracting investment of ₹50,000 Cr (USD 5.55 billion), adding room inventory of 20,000 and creating 3 lakh jobs by 2029.

### Anchor Investments

Varun Hospitality Pvt. Ltd. identified strong tourism potential and rising demand for luxury accommodation in Visakhapatnam and Amaravati. Guided by the AP Tourism Department, the Varun group has expanded its presence in hospitality sector in the major cities of Andhra Pradesh. It is developing the iconic Taj Varun Bay sands 5-star sea-front hotel with 374 keys, and a 5-star hotel with Novotel brand at Amaravati.

"The Oberoi group is investing in the state to develop world-class infrastructure and has committed to the development of its tourism ecosystem. The group is constructing 5-star resorts and hotels in Visakhapatnam, Tirupati and Gandikota with 420 keys, with employment generation for 7000 persons. The group is closely working with the Govt. of Andhra Pradesh in promoting tourism. Andhra Pradesh has immense potential in tourism, and it resonates with the vision of the state government under the dynamic leadership of Hon'ble Chief Minister," said Mr. R. Shankar, President, Corporate and Legal Affairs, Oberoi Group.



**"Andhra Pradesh is on the brink of a tourism transformation, harnessing its rich heritage and diverse landscapes. With over 25 thematic circuits and 7 anchor hubs, we are shifting toward high-value tourism—aiming to raise average visitor spend to ₹25,000, expand hotel capacity to 50,000 rooms, and attract investments exceeding ₹50,000 crore (USD 5.55 billion). By 2029, tourism will contribute ₹2.4 lakh crore (USD 26.64 billion) to the state's GSDP and generate 3 lakh jobs, driven by technology, sustainability, and community-led growth."**

#### KANDULA DURGESH

Hon'ble Minister for Tourism,  
Government of Andhra Pradesh

